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Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Could Be a Big Week for Markets—But in Which Direction?

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Last Week's S&P 500 Index: +1.7%

Key takeaways

- *While we are in the heart of the earnings reporting season, it is macro events that will likely drive the markets over the next couple of weeks.*
- *This week's Federal Reserve (Fed) meeting combined with potential comments coming out of U.S.-China trade discussions could provide market opportunities.*

One could make a rational argument that even though we are in the middle of the heaviest week of the second-quarter earnings reporting season (165 S&P 500 companies are scheduled to report this week), there are other events and economic reports that could overshadow this trimestral ritual. One reason for this is that the market is getting almost exactly what it expected: poor year-over-year earnings comparisons for the index as a whole. About the only good news, from a strategist's 30,000-foot level, is the composite number is less-bad than the consensus expected. But still, just like the first quarter, the probability of a big overall beat or miss is quite small.

If you have been tuning into your favorite business cable channel of late, you know this week features a much-anticipated Fed monetary policy meeting as well as the resumption of trade discussions between the U.S. and China. "Good" news out of either of these two events would, at the very least, justify current equity market levels for many investors and would likely help push stocks higher. Then again, "bad" news could very well push the major indices lower. The question is, what to do should one of these events occur?

Our analysis suggests we should lean toward sectors that would benefit from a continuation of the expansion. We currently find the Information Technology and Industrials sectors most favorable. These sectors are both dependent on the global economy. Of the 11 sectors, and within the scope of our analytical methodology, these 2 rank highest across the breadth of the Pillar Growth-Value-Quality and Economic factors. Therefore, we want to add to positions in these sectors should the opportunity arise.

And when you consider that over the last 80 years the S&P 500 has experienced a 10% pullback, on average, approximately every 11 months, a big news week like this could provide the kind of spark that might help create an opportunity to put sidelined funds to work. Should any of this week's macro news send the market lower, the 200-day moving average currently comes in at 2785, slightly less than 8% below current levels and well within the bounds of what might be expected after the 28% rally off the Christmas Eve panic low. Based on our forward 12-month earnings projection, the price-to-earnings (P/E) ratio would be 16.2x at that technical support level, largely in line with the 20-year average of 16.3x. However, note that historically when interest rates are low, P/E ratios tend to be above the longer-term average. Also note that our year-end 2019 S&P 500 target midpoint is based on a forward P/E multiple in the 17x area.

On the other hand, should the news this week push the stock market higher, we anticipate our recent theme of recommending rebalancing portfolios will be highlighted. Large-cap domestic stocks, in our opinion, are currently at or close to what we would consider to be "fair value."

This week has the potential to create volatility in either direction. Downside volatility should be looked at as an opportunity to put cash to work while an upside push would offer opportunities to rebalance. Stay invested.

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There is increased risk investing in the **Industrials** sector. The industries within the sector can be significantly affected by general market and economic conditions, competition, technological innovation, legislation and government regulations, among other things, all of which can significantly affect a portfolio's performance. Risks associated with the **Technology** sector include increased competition from domestic and international companies, unexpected changes in demand, regulatory actions, technical problems with key products, and the departure of key members of management. Technology and Internet-related stocks smaller, less-seasoned companies, tend to be more volatile than the overall market.

Equity Pillar definitions

Quality Pillar: Our Quality Pillar examines and reflects a sector's current and past operating performance (profitability and leverage), and it can be indicative of future operating performance. It may be a reliable quality measure for sectors, regardless of the level of earnings. It compares the 11 sectors using a leverage and liquidity measure; return on equity; and analyst estimate dispersion.

Value Pillar: Our Value Pillar considers the premium or discount that the sector has to the S&P 500 Index and to other S&P 500 sectors. It considers forecast total yield, the 12-month trailing price-to-earnings ratio, and the price to free cash flow ratio.

Growth Pillar: Our Growth Pillar attempts to identify sectors with above-average growth prospects and with growth potential that is not reflected in the current price. It compares sectors using a composite revision ratio, the forecasted next 12 months' earnings growth, and the dividend growth trend.

Economic Pillar: Our Economic Pillar seeks to pinpoint where the U.S. economy is within the current economic cycle (expansion, contraction, etc.) and then uses historical performance tendencies to determine which sectors may outperform or underperform at that given point in the cycle.

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